F04 — Commercial, Economic & Pricing Feasibility

PSS Acceptance 360 | Proposed bank-paid Operate + Connect service | Version 1.0 | 19 October 2026

PRE-APPOINTMENT / PUBLIC-EVIDENCE ASSESSMENT — NOT A BANKABLE FEASIBILITY CONCLUSION

Prepared for prospective Research, Product & Business Development management review. Not issued, commissioned or approved by PSS. Institutional product data, bank evidence, actual licence and contract documents and independent financial attestations are not available to this assessment.

Document control

Field	Control entry
Document ID	F04 / Volume III / Commercial feasibility
Authority	Independent pre-appointment research; no acting PSS authority
Decision class	Commercial pre-feasibility; pricing methodology and validation plan
Primary inputs	S01, S02, V02, V03, V04, V05, P01–P04, F02 and F03 draft lineage
Evidence cut-off	19 October 2026
Reviews outstanding	PSS RPB&D, CFO, Legal, Risk, bank economic buyer, independent assurance

Executive management judgement

Conditional proceed: prepare bank-facing discovery and price validation of a deliberately narrow, bank-scoped merchant-operations service; do not approve a price list, revenue forecast, procurement or live pilot. The current preference for PSS Operate + Connect remains a hypothesis that must be overturned if PSS Pay expansion, a partner-led service, or no build produces stronger bank economics and a lower investment burden.

The minimum test is two-sided: (1) a sponsoring bank has a credible, measurable economic benefit greater than its total incremental cost; and (2) PSS has contracted recurring receipts sufficient to cover service-specific recurring costs and the lifecycle return on up-front investment. A fee may create PSS revenue while destroying bank value, or benefit banks while leaving PSS loss-making. Either outcome fails the commercial gate.

1. Commercial perimeter and market-policy constraint

Acceptance 360 is not assumed to own merchant balances, run national QR scheme rules, decide credit/KYC, or become a new settlement rail. The first candidate release would ingest permitted bank/payment event evidence and supply reconciliation, exceptions, controlled operations and reusable bank adapters. Bank-account and financial settlement decisions remain with authorised institutions; PSS has its own directly applicable obligations.

NBE's official 2026–2030 National Digital Payments Strategy page labels the current release a draft. Its proposed future merchant discount rate, QR interchange reform, fund and merchant-value-add initiatives provide commercial context but are not approved cash flows. The model therefore has zero revenue from future MDR, QR interchange, subsidies, float, lending, or uncontracted merchant charges. [EXT-01]

CGAP distinguishes payment transaction acquiring/processing from constructing and servicing the merchant acceptance network. This distinction is the basis for separating operational-service costs from transaction-processing volumes and for identifying the bank—not automatically the merchant—as the candidate economic buyer. [EXT-02]

2. Offer architecture and buyer jobs

Service	Bank buyer job	Commercial boundary
Operate — core	Reduce manual reconciliation, payment-status uncertainty, exceptions and merchant support workload	Measured bank-scoped operations; bank retains financial approval
Connect — core	Reuse approved integration patterns and reduce repeat bank IT effort	Bank/rail adapters only where contracts and access permit
Accept / PSS Pay	Extend merchant acceptance selectively with existing PSS assets	Separate certification, device, acquiring and cost proof
Grow	Enable optional analytics or merchant business services	Outside first commercial base case
Agent network	Improve physical last-mile coverage	Not included in first launch and not valued in base case

3. Tested business-model alternatives

Option	Commercial hypothesis	Kill / switch condition
B — Operate + Connect	Banks contract minimum recurring service revenues for measurable workload reduction and data quality	No bank budget owner / no comparable economic gain / integration not reusable
C — PSS Pay-led	Existing PSS Pay has better near-term unit economics and customer pull	Insufficient current certification / device readiness / activation
D — Partner-led	Third-party managed service wins on speed and lifecycle cost	Data or exit dependence outweighs lower initial capex
A — Full 360	Large multi-module ecosystem grows network value	Premature cost, capacity and permission footprint
E — No new investment	Existing contracts/partners already address the bank problem	Preferred if none of A–D clears both-sided economics

4. Who pays? Proposed price architecture

Price item	Potential structure	Required validation
Bank integration fee	One-off documented adapter and certification work, with milestones	PSS actual work estimate + bank procurement acceptable cost
Monthly bank minimum	Minimum recurring bank-scoped service subscription with defined SLA and allowance	Named budget owner + internal PSS cost floor + value quantification
Active merchant service	Bank-paid fee for merchants meeting an agreed activity definition	Cohort activity, support hours, no double charging
Eligible usage overage	Per eligible event above included allowance, or zero for the base tier	Verified event economics, allowance and customer value
Optional premium tier	Bank-requested additional reports, support or bespoke SLAs	Bank contract change, incremental delivery costs
Excluded income	Merchant MDR, scheme interchange, subsidy, float, lending	No recognition without effective authority and enforceable contract

Pricing must be transparent at the service/SLA level; banks should be able to compare each charge with a relevant alternative. A minimum monthly commitment improves predictability but does not itself establish viability or a bank's willingness to pay. Unused capacity, inactivity, reversals, cancelled merchants and changes of provider require explicit contractual treatment.

5. Bank-side economic value test

Bank net monthly economic value = validated avoidable reconciliation/exception expense + independently validated non-overlapping staff savings + conservative incremental net contribution − contracted PSS recurring fees − retained bank oversight and integration/change expense. The sign of this value determines whether the bank is economically better off on an ongoing basis.

Avoid double counting the same staff time in both per-exception and hourly savings. Do not convert merchant sign-ups, payment value or improved customer satisfaction directly to revenue without observed attributable incremental contribution. Bank implementation fees, process redesign and IT change costs must appear in full lifecycle comparison, not disappear into a single operating-month ROI.

6. PSS-side unit economics and cost allocation

PSS recurring monthly contribution = bank subscription revenue + bank-paid eligible merchant service fees + permitted event overage − fixed operating platform costs − monthly security/compliance allocation − activity-based merchant support and event processing costs. It excludes build capex, one-time bank onboarding and setup receipts; these are handled separately in cash flow and investment return.

Direct costs should include licensed software, cloud/hosting, integration platform maintenance, monitoring, data retention, investigation staff, merchant help-desk, incident management, cyber/security assurance, fraud controls and audits. Shared overhead allocation, partner or scheme fees, tax, foreign exchange, VAT and depreciation policies require CFO treatment. The service is not assumed to have negligible incremental cost merely because PSS already operates a switch.

7. Subscription-floor and break-even discipline

At a stated bank count, merchant activity and included event allowance, the workbook calculates a minimum recurring subscription floor to cover monthly operating costs after other eligible recurring revenues. That is an operating break-even floor only; it is not the recommended tariff, a lifecycle project IRR or an investment approval threshold. Add implementation cash, risk buffer, required return and downside before setting a commercial price.

Bank recurring payments must not exceed its independently documented, risk-adjusted economic benefit merely because PSS needs a higher price to break even. If the bank value ceiling sits below PSS's viable price floor, redesign the scope, reduce costs, seek verified alternative revenue, partner, or stop.

8. Required downside and sensitivity cases

Test	What varies	Decision question
Activation	Active merchant ramp, inactive merchants and bank live dates	Does PSS remain solvent with lower usage?
Bank pipeline	One bank only, delayed second bank, cancelled prospect	Are fixed costs too high for contracted demand?
Price competition	Discounted service fee and lower overage	Does any margin remain?
Delivery costs	Security overhead, support load and vendor rates	Can obligations be met economically?
Quality / disputes	Higher reversal, mismatch and exception rates	Does support cost erase contribution?
FX / tax	Imported SaaS costs, tax treatments and exchange movements	What finance risks require hedging/buffers?
Alternative	No-build and qualified partner service	Is own development truly better?

The attached 36-month workbook is a blank-input model, not an operating forecast. Months, active banks and active merchants require source-backed entry; formulas then derive events, eligible recurring income, direct costs and cumulative cash. The companion S02/P04 options and sourcing records must be reconciled with any final scenario before management circulation.

9. Commercial research and falsification

V03 recruitment should first identify a bank's accountable merchant/acquiring or operations decision maker, economic buyer, CFO budget holder, IT integration approver and procurement gate. Interviews should elicit current reconciliation effort and exception baselines before presenting prices or attractive future-state functions. Pricing should be tested with neutral alternatives: in-house improvement, current provider, focused Operate + Connect, PSS Pay-led expansion and no change.

A buyer's verbal appreciation = problem discovery, not purchase intent. A price range discussed with a technical employee does not equal an authorised price. Require a documented economic buyer, verified baseline, willingness to fund, a feasible term sheet and contract approval pathway. Record negative responses and bank-specific reasons for rejection. No bank has been approached or signed under this research document.

10. Commercial validation gates and independent sign-off

Gate	Evidence threshold	Primary reviewer
Buyer demand	Named economic buyer, documented baseline and written commercial interest	RPB&D + bank sponsor
Bank value	Positive net bank value supported by reviewed source evidence	Bank Finance
PSS cost base	Actual operating and implementation costs incl. shared overhead	PSS CFO + Operations
Contract/pricing authority	Permitted fee base, bank terms, data and operational responsibilities	Legal/Compliance
Downside investment	36-month cash, risk/funding buffer and alternatives	CFO + Risk
Independent assurance	Challenge, counterfactual, conflicts and dissent recorded	Risk/Internal Audit
Committee decision	Specific delegated cap and stop/go boundaries	Executive Committee

11. Pre-appointment work versus post-joining evidence

Can prepare now (public / methodological)	Must wait for PSS authority and approved data
Evidence-based price architecture; empty economic model	PSS cost ledger, staff timesheets, infrastructure utilisation, vendor and scheme contracts
Bank interview/ROI template and sample definitions	Official bank recruitment, consented interviews and purchasing authority
Analysis of draft NDPS pricing context	Actual licence/fee conditions and counsel conclusion
Downside/scenario test plan	Verified cash flow, pricing offers, taxes/FX, CFO hurdle and sign-off
Research notebooks and independent challenge criteria	Executive authorisation, commercial term sheets and live pilot budget

12. Recommendation and requested future decision

Retain Option B as the leading research hypothesis only; do not authorise product pricing, merchant charging, procurement or launch. Upon appointment and approval, request (i) bank discovery authority, (ii) source-controlled operational and finance access, and (iii) CFO, Legal and Risk challenge of this workbook. Return with a bank-level offer that clears both customer value and PSS contribution, plus a 36-month funding case. Re-scope to PSS Pay, partner-led or no build if evidence supports them better.

Annex A — Evidence and provenance

ID	Type	Source and constraint
EXT-01	Official primary	NBE draft strategy landing page, https://nbe.gov.et/ndps/ — draft status as of research date
EXT-02	Research primary	CGAP Acquiring Models, October 2019, https://www.cgap.org/research/publication/acquiring-models — generic guidance, not PSS performance
INT-01	Unapproved internal draft	S01 Strategic Investment Case: proposal, not actual PSS strategy
INT-02	Unapproved internal draft	S02 Options; V03 bank WTP protocol; V05 performance; P04 sourcing; F03 legal constraints
DATA-OPEN	Not available	Bank contracts, actual prices, PSS product operating costs, bank ROI, legal counsel and finance approval

Annex B — Review / decision record

Document owner (proposed): Research, Product & Business Development Division. Commercial reviewer: CEO/business sponsor. Financial reviewer: CFO. Legal/regulatory reviewer: Legal and Compliance. Risk reviewer: Risk/CISO. Independent challenge: Internal Audit or appointed independent reviewer. All signatures, dates, decision statuses and dissent remain blank pending authorisation.